

Table 33.4 Breakout and Post-Breakout Statistics

Description	Down Breakout
Breakout direction	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –16%, M –16%, H –15%
Pullbacks occurrence	65%
Average time to pullback peaks	–7% in 6 days
Average time to pullback ends	12 days
Average decline for patterns with pullbacks	–15%
Average decline for patterns without pullbacks	–18%
Percentage price resumes trend	55%
Performance with breakout day gap	–16%
Performance without breakout day gap	–16%
Average gap size	\$0.94

Yearly position, performance. Patterns with breakouts within a third of the yearly high perform worst, but the numbers are close enough that the differences are not meaningful (probably not statistically significant).

Pullbacks. A pullback takes 12 days, on average, for the stock to return to the breakout price. When a pullback happens, performance suffers, as the table shows. Look for underlying support and avoid double tops with support close enough to cause a pullback. How close is close? The *median* drop during a pullback is 6%, so use that as a gauge to look for nearby support (that far down).

After a pullback completes, price resumes the downtrend just over half the time. That also means price reaches the ultimate low during a pullback 45% of the time (and price rises thereafter).

Gaps. Whether a gap occurs or doesn't occur, I didn't see any performance difference.

Table 33.5 shows pattern size statistics.